Economics

# DBS Flash

# India: Assessing the impact from the Middle East conflict

**Economics/Growth**

DBS Group Research | March 11, 2026

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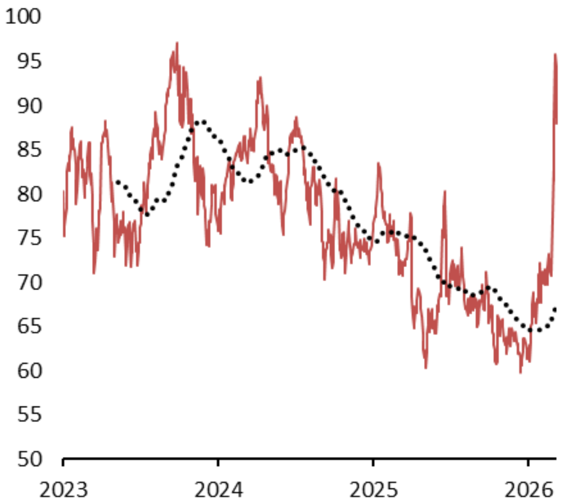
- *Oil prices have soared in recent weeks*
- *We see three channels of impact for India – risk sentiment, energy pricing, and economic activity.*
- *VIX is off highs but still elevated by historical comparisons.*
- *Along with crude oil, energy dependency extends to natural gas and LPG supplies from the region.*
- *We present scenarios on the economic impact, with the severity of the fallout to be dictated by duration of the conflict.*
- *Implications for markets: We expect weak risk uptake to weigh on the rupee.*
- *RBI will prefer to stay on a prolonged pause.*

**Global oil benchmarks whipsawed sharply this week, book-ended by an initial rally in Brent crude to ~$120bbl before correcting sharply below $90bbl** (see chart). Pullback was driven by indications from the US administration that the conflict in Iran might end soon, and that efforts are underway to step up oil supplies through waiver of selected sanctions, plans to dip into emergency stockpiles, and navy support for vessels through the Strait of Hormuz, amongst others. **At the time of writing there was lack of clarity on the direction ahead, amidst mixed messages on the duration and intensity of the conflict.**

Crude Oil: Spot Price: Brent




Source: CEIC, DBS

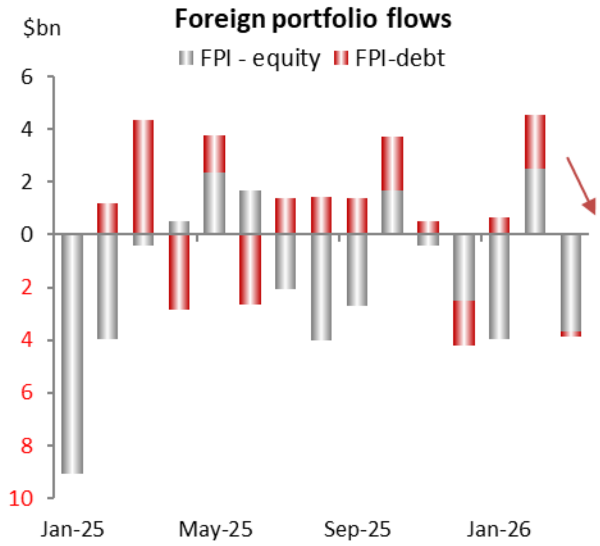
## Degrees of impact from the ongoing conflict

**We covered the impact on the economy from the current geopolitical risks here, here and here. There are three channels of impact for India – risk sentiment, energy pricing, and economic activity, from a prolonged war in the Middle East, with the intensity of fallout to be guided by the duration of the conflict and extent of resultant supply shocks.**

## Risk sentiments

India's VIX gauge remains at elevated levels, even if off highs (see chart), underscoring weak underlying risk sentiments. Domestic financial markets, including equity price action, bonds and rupee have felt the heat from the ongoing hostilities in the Middle East region. The currency had depreciated to a fresh low against the dollar, besides a tentative stabilisation in the benchmark equity indices after a sharp sell-off. After a reprieve in February, foreign flows have reversed out in March in midst of fresh geopolitical tensions (see chart).


*Source: CEIC, DBS*




Source: CEIC, DBS

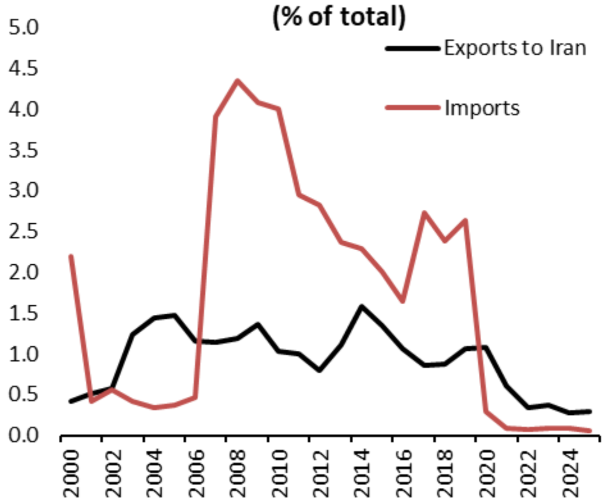
To cap yields, the RBI conducted debt purchases via open market operations (OMO) worth INR 500bn on 9-Mar helping to stabilise the bond markets and has scheduled another INR500bn for 12-Mar, ahead of heavy seasonal advance tax as well as GST related outflows due in the coming weeks. This infusion will also ease the drain from strong FX intervention and maturing FX forwards. Authorities have also been active participants in the secondary markets in February, pre-dating the conflict, to rein in yields. The cumulative and sizeable scale of purchases have amounted to nearly three-fourth of net borrowings for the year. In midst of broader risk dislocations, markets had begun to price in tighter interest rate conditions in the year ahead, though are likely to correct in the near-term.

We expect the central bank to stay on a prolonged pause on policy rates, while undertaking specific steps to ease market tensions. Outside of the geopolitical tensions, we continue to expect the rupee to underperform the regional pack, even as the broader dollar might stabilise.

## Energy pricing

For a start, **India's direct trade with Iran** (led by food, pharma, animal feed exports and petroleum product imports) has diminished in the past five years owing to the long-standing US sanctions (see chart).

**Share of India's goods trade with Iran (% of total)**

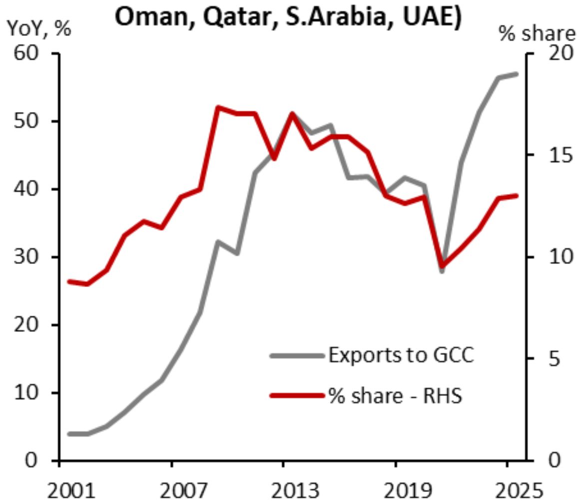



Source: Commerce Ministry, DBS

Amongst key investment commitments, India was a major partner in the development and operation of the Chabahar Port on Iran's southeastern coast, particularly to operate the Shahid Beheshti Terminal. While this investment is more strategic by nature rather than commercial, the exposure has faced the strain of sanctions by the West.

**Trade linkages to the broader Middle East region remains more significant and important.** Total trade with the GCC countries remains material (~15% of total trade) led by energy, machinery, gems & jewellery etc. A tenth of overseas Indians live in the UAE; ~38% of remittances. Add to this, Indians make up a big chunk of merchant shipping crew.

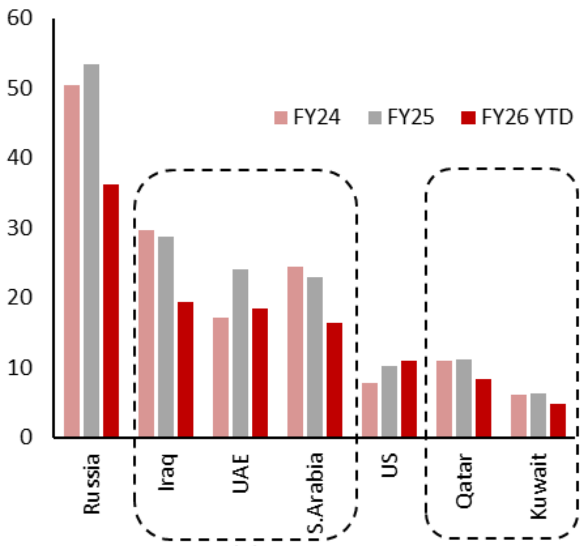
**India's exports to GCC (Bahrain, Kuwait, Oman, Qatar, S.Arabia, UAE)**



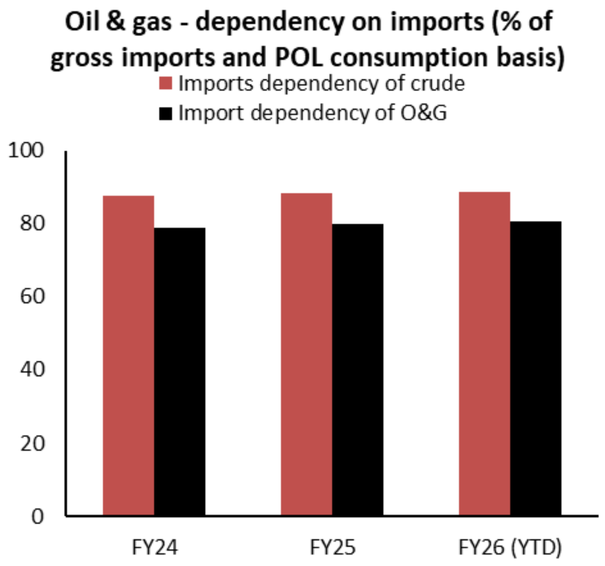

Source: CEIC, DBS

**Escalation in the Middle East tensions will pose supply risks to the broader hydrocarbon trade for the country, including exposure to crude oil, LNG and LPG markets.** India is the third largest oil consumer globally, with a heavy reliance on crude imports. The country imports more than 85% of crude oil supplies, of which more than 55-57% is from the Middle East countries (see chart). Around half of crude supplies, which amounts to 2.5-2.7mn/ day, travels through the Strait of Hormuz, largely from Iraq, Saudi Arabia, the UAE and Kuwait.

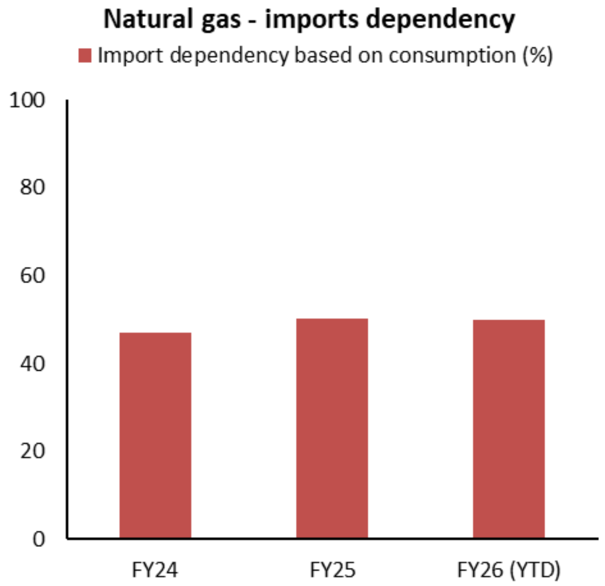
**India's petroleum crude and products imports ($bn)**




Source: Commerce Ministry, DBS

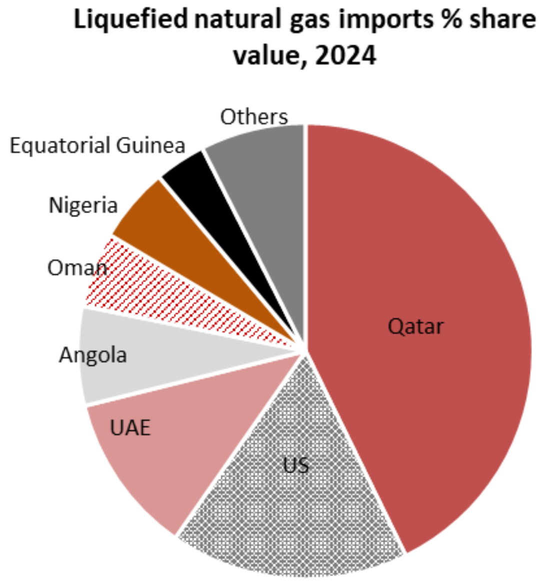


Source: PPAC, DBS



Source: PPAC, DBS

Additionally, more than 50% of the LNG is imported (see chart), two-third of which comes from the Middle east, key amongst which are supplies from Qatar. Notably, India is the world's fourth-largest buyer of LNG, with the current share of gas in the overall energy mix at a modest 6.2% (plan to increase to 15% within this decade).



Source: CEIC, WITS, DBS

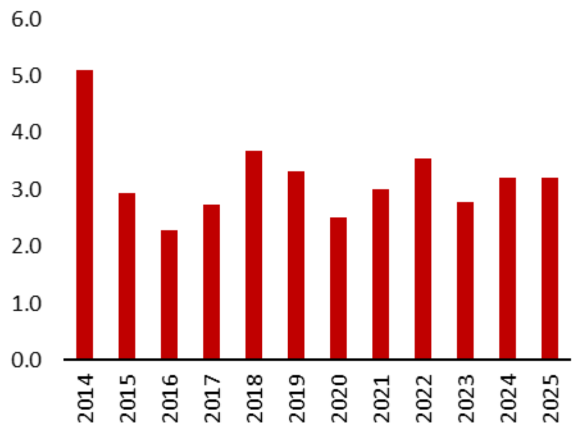
Lastly, two-third of LPG requirements are imported, which are in turn predominantly utilised by retail consumers (primarily cooking). With bulk of these resources passing by the Strait of Hormuz, indications that the vessel movements have grind to a near halt will intensify worries over the extent of stockpiles and backup inventories (LNG is most difficult to store).

**On the heels of the price volatility and looming supply shortages, measures are underway domestically to balance the available stock**, including prioritising household gas use while industrial consumers face potential delays/ disruptions. Several gas-related industries have also recently announced force majeure, especially those heavily reliant on imported gas volumes, including for instance petrochemical companies and refineries. Shortage in LPG supplies will largely impact retail consumers, with signs that the government has 20-25 days of inventory. **India's emergency strategic petroleum reserves,** managed by the state-run ISPRL, currently stands at ~30mn tonnes, according to officials cited by reports, with the storage is around 75-80% filled. Meanwhile, the government has reportedly no plans to join the International Energy Agency (IEA) initiative to release strategic oil reserves. To backstop supplies, the US had reportedly provided a 30-day waiver to India refiners to receive cargoes from Russia, of which oil is in afloat vessels. Indian authorities have, meanwhile, begun to seek alternate suppliers, for instance from Asia and Africa.

## Economic/ macro channel – scenario analysis

The persistence and sustainability of high oil prices will play a key role in shaping the scale of the economic impact on countries. Earlier, oil markets had downplayed these risks, but they have now intensified as reports surface about infrastructure damage and delays in production in the Middle East.

India: Net oil imports % of GDP)




Source: CEIC, DBS. Net oil import is excess of imports over exports of oil. Positive values are net importer while negative ones are net exporter of oil. EU 27 exc. UK data is for 2024.

**Baseline forecasts for FY27**: Outside of the geopolitical developments, positive high frequency indicators, revised GDP numbers and the court ruling on tariffs which had lowered the effective tariff on India prompted us to revise up FY27 real GDP growth to 7% (from 6.5% earlier). CPI inflation stands at 4% and current account deficit is expected to widen from an estimated -1.0% of GDP to -1.3% of GDP in FY27, factoring in moderation in service trade receipts. Encouragingly, the economy's oil intensity has reduced from the past, as signaled by the moderation in the net oil imports. As it stands, net oil imports stood at $123bn (~3.1% of GDP) in FY25.

**Sensitivities**: As a start, crude oil prices at $80-$85bbl will be manageable, while the economic impact will be most acute if prices average north of $100bbl for the coming months. Baseline assumption in the RBI's monetary policy report in Oct25 stood at $70bbl in second half of FY26, as global crude oil prices had exhibited a declining trend easing from $77bbl in early-Apr25 to $68bbl in Sep25. Official estimates are that a 10% increase in crude oil prices vs the baseline, and assuming full pass-through to domestic product prices, CPI inflation could turn out to be higher by ~30 bps and growth may be lower by around 15 bps. Fo the CAD, a $10bl increase could push by the shortfall by 0.35% of GDP.

**Scenario analysis**

| Oil price | US$80/bbl | US$90/bbl | US$100/bbl |
|---|---|---|---|
| GDP (change, ppt) | -0.15 | -0.25 | -0.40 |
| CPI (change, % ppt) | +0.25 | +0.35 | +0.5 |
| Current account/GDP (change, % ppt) | -0.35 | -0.50 | -0.60 |

*Source: RBI, press, DBS; estimates vs FY27 baseline assumptions*

The extent of impact on inflation will be dictated by who picks the incremental cost burden. India had undertaken measures to reform its fuel sector by deregulating petrol and diesel prices, allowing them to align with market rates to reduce fiscal deficits and losses of the upstream oil marketing companies. This helped to lower the fiscal burden on the government's books, with total subsidies accounting to 1.2-1.3% of GDP, of which petroleum is almost negligible at less than 3% of the total. However, in the event of a sharp rise in global fuel prices, authorities are likely to be cautious about fully passing on higher costs to consumers. The need to protect household purchasing power and support businesses as well as a packed state election calendar in 1H26 may prompt a more measured approach to retail fuel price adjustments, with the initial rise likely to be absorbed by the oil marketing companies (could lower dividend contribution). As an alternate to raising retail prices, excise duty cuts might be considered (for instance INR3/l reduction will amount to ~0.1% of GDP).

**BOP dynamics**: As highlighted above, the current account balance is likely to face a wider energy bill, pushing up the goods import bill. Concurrently, with the region making up ~40% of total remittances, inflows under this segment faces a second order impact if the conflict prolongs. As it stands, prior to the geopolitical tensions, financing flows for the current account gap were a bigger concern than the scale of the trade balance shortfall, with this likely to remain as a key flashpoint. A concurrent reduction in portfolio flows, narrowing net FDI and offshore borrowings crimped by a rise in costs/ hedging costs could keep the overall BOP in red in FY27.

## Conclusion

Geopolitical developments are fluid at this juncture, with the economic impact on India to be dictated by how the long the conflict lasts and which countries in the Middle East are engulfed in these hostilities. A lift in Strait of Hormuz blockages might help to restore supplies but with a significant lag time.

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**Sources**: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research

Economics & Strategy

# DBS Flash

## Singapore: Assessing the risks from Middle East escalation

**Economics/GDP/Inflation**

DBS Group Research | March 10, 2026

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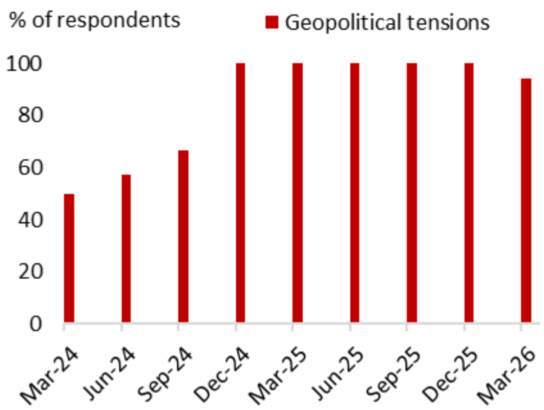
- *Singapore's economy is confronting the Middle East uncertainty from a relatively strong position.*
- *It is exposed to the global energy shock due to its status as a price taker and its high import dependency, although risks are partly mitigated by diversified supply.*
- *Direct goods exports exposure to the Middle East is limited.*
- *Oil prices remaining at ~USD100/bbl would likely lift inflation more than they would depress economic growth.*
- *Policy space is ample to tackle this shock.*

Geopolitical risks have intensified significantly in March amid the ongoing escalation of Middle East tensions sparked by US-Israeli military strikes on Iran. Global oil and gas prices have surged on the back of the Iran-centred conflict, which is already disrupting energy shipments through the Straits of Hormuz - the world's most critical energy chokepoint, with ~20% of global oil and gas flows transiting through it.

**Singapore will be negatively impacted from the wider Middle East disruption. We assess the impact to be felt more through the inflation channel, given Singapore's position as a price taker that is highly dependent on energy imports.** Nonetheless, the economy is confronting this uncertainty from a relatively strong position, amid solid growth momentum buoyed by global artificial intelligence-related tailwinds, still-low inflation, healthy external metrics, and ample policy space in early 2026.

**Potential downside risks to the Singapore economy**

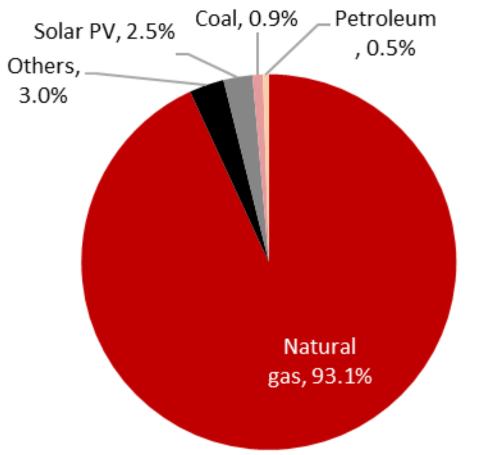



Source: MAS Survey of Professional Forecasters, DBS
Note: The chart refers to the absolute share of respondents, who have cited geopolitical tensions as a downside risk.

## Energy supply and trade exposure

**Singapore is exposed to the current global energy shock due to its high import dependency, although risks are partly mitigated by diversified supply.** It relies heavily on natural gas for electricity generation, accounting for >90% of the energy mix, with costs tied to oil prices by commercial contracts.

**Singapore electricity generation energy mix**

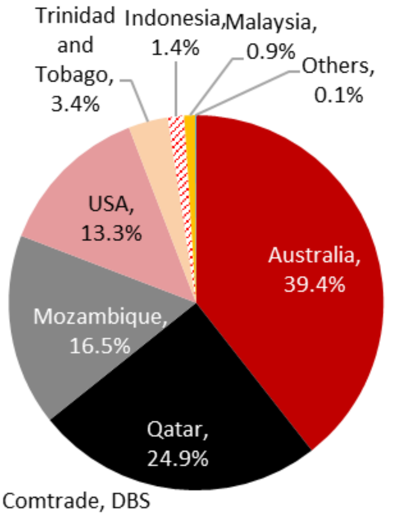



Source: Energy Market Authority, DBS
Note: data as of 1H25.

Singapore's liquified natural gas (LNG) import mix is well distributed. Although Qatar accounted for ~25% share in volume terms as of 2024 (with some news sources citing >40% share in 2025), other key supply sources included Australia, Mozambique, and the US. Pipeline natural gas supplies from Indonesia and Malaysia, which together accounted for 43% of overall natural gas imports in 2025, provide an additional buffer. However, crude oil imports are more exposed to the Middle East, with ~50% in total coming from the UAE, Qatar, and Saudi Arabia in 2024, although the US was also another notable supplier.

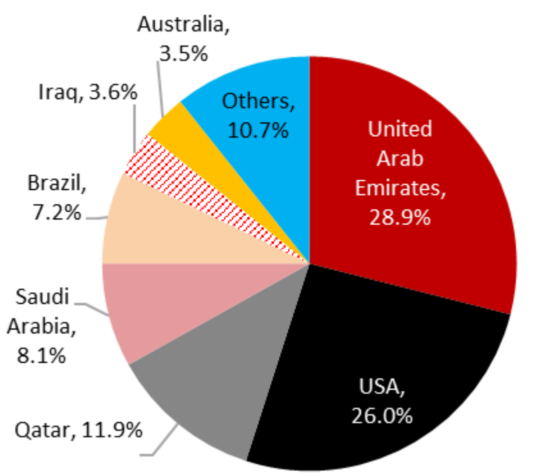
Singapore's direct goods exports exposure to the Middle East is limited, accounting for ~1.5% of the total in 2025. This suggests that a demand shock in the Middle East is unlikely to place significant downside pressure on exports.

**Singapore LNG imports by source**




Source: UN Comtrade, DBS
Note: Calculations were based on volumes as of 2024.

**Singapore crude oil imports by source**




Source: UN Comtrade, DBS
Note: Calculations were based on volumes as of 2024.

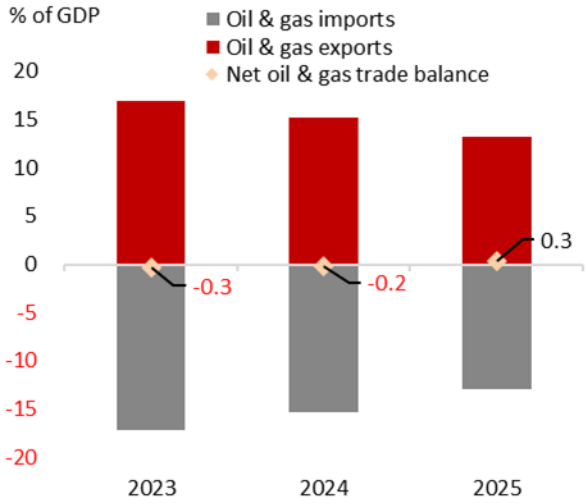
## Macroeconomic implications

The global energy price shock in an event of a protracted Middle East conflict would likely raise Singapore's inflation more than it would depress economic growth, in our view. If Brent crude oil price remains at around USD100/bbl for the rest of the year, we estimate that Singapore's headline inflation could rise by around 1.5 percentage points (pp), while real GDP growth could be lowered by 0.4 pp *(see 'Macro Insights Weekly: Asia's vulnerability to the Iran crisis' for additional analysis for other Asian economies).*

Singapore's consumers and export-oriented firms will have to brace for higher electricity, transport-fuel, and shipping costs arising from the increase in global energy prices and supply chain disruptions from the Middle East conflict. We estimate around 7+% of the overall CPI basket would likely be directly impacted by higher energy prices. Manufacturers are already facing capacity and supply chain constraints, as reflected in the sharper contraction in the supplier deliveries sub-index of the February manufacturing purchasing managers' index at 49.6 – the lowest in about two years since early 2024. The escalation in geopolitical tensions only heightens the risks of further disruptions that could dampen factory and trade growth.

However, Singapore's energy intensity per unit of GDP has been declining over the years due to improvements in energy efficiency. Considering Singapore's net oil and gas trade position, a potentially higher oil and gas import bill from the price spike could be offset by increased export revenues amid improved refining margins, even though the chemical sector faces disruptions.

**Singapore's oil & gas trade position**




Source: CEIC, DBS

## Policy implications

**Singapore has ample policy space to tackle the external shock from Middle East geopolitical uncertainty.** On fiscal policy, we think the government has significant room to deploy targeted cost-of-living support measures, should energy-driven inflation place meaningful pressures on households over the coming months, consistent with its response in past high inflation periods in 2022 and 2023. Fiscal space is supported by its healthy public finances, having budgeted an overall fiscal surplus of 1.0% of GDP in FY2026, distinguishing Singapore from more fiscally constrained ASEAN economies.

On monetary policy, imported price pressures should continue to be dampened by the ongoing appreciation of the Singapore dollar nominal effective exchange rate (SGD NEER), following the Monetary Authority of Singapore (MAS)'s decisions to maintain the policy band's appreciation in January 2026, as well as October and July 2025. However, the recent spike in global energy prices is starting to complicate the MAS's policy bias towards earlier tightening.

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**Sources**: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

# DBS Flash

# Taiwan: Navigating oil price shocks

**Economics/growth/monetary**

Group Research

March 5, 2026

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- Taiwan is highly exposed to oil price shocks amid the Iran conflict, with heavy reliance on thermal power, almost entirely imported, and a large share of crude oil and LNG sourced from the Middle East.

- Direct export exposure to the Middle East is minimal, while structural technology trends continue to support Taiwan's exports.

- An oil price shock would pressure Taiwan's "Goldilocks" mix of strong growth and contained inflation, but is far from causing stagflation.

- The central bank retains monetary policy flexibility.

- **Forecast implications:** We maintain our 2026 GDP growth forecast of 7.0%, while seeing upside risks to our inflation forecast of 1.5%.

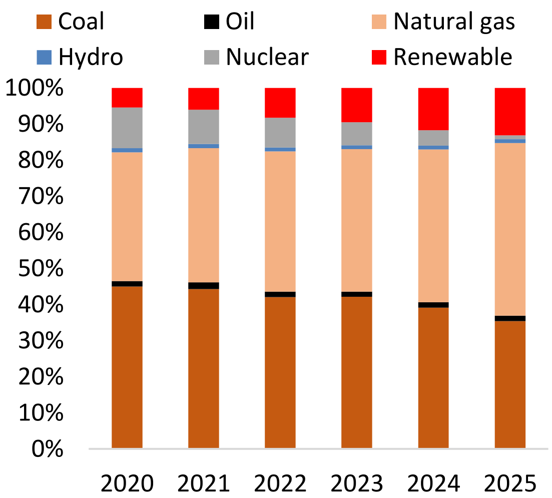

The ongoing conflict involving Iran and the US/Israel has immediately impacted global energy markets and maritime trade. Roughly 20–30% of the world's crude oil and liquefied natural gas (LNG) passes through the Strait of Hormuz, and disruptions there have reduced the flow of Middle Eastern oil and LNG. Markets have responded, pushing Brent crude and other benchmarks higher. Meanwhile, insurers have withdrawn war-risk coverage, and major carriers have suspended Gulf transits, creating vessel backlogs and higher freight costs. Alternative routes around Africa increase transit time and costs, although shipping and logistics are gradually adjusting to these challenges.

## Energy exposure

**Taiwan is highly exposed to oil price shocks due to its energy structure**. **The island relies heavily on thermal power**, which accounts for around 85% of electricity generation. Although renewable capacity has expanded in recent years, much of the increase has offset the phase-down of nuclear power rather than materially reducing fossil fuel dependence.

**Nearly all thermal fuel inputs are imported**. Net fuel imports accounted for around 4% of nominal GDP in 2025, among the highest ratios in Asia, leaving the economy sensitive to sustained increases in global energy prices and shipping costs.

**Taiwan: Electricity supply**




Sources: CEIC, DBS

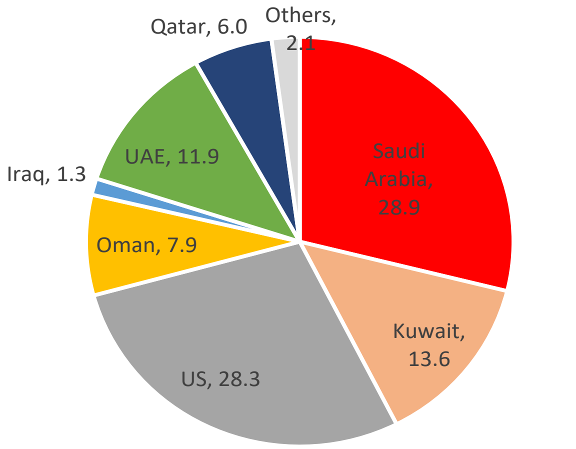
**Asia: Net fuel imports/nominal GDP (2025)**


Sources: CEIC, DBS

**Taiwan sources roughly 70% of its crude oil from the Middle East**—particularly Saudi Arabia, Kuwait, and the UAE—**and about 30% of its LNG from Qatar**. A prolonged disruption in Hormuz would tighten supply and raise costs, although strategic reserves and diversified suppliers reduce the risk of severe shortages.

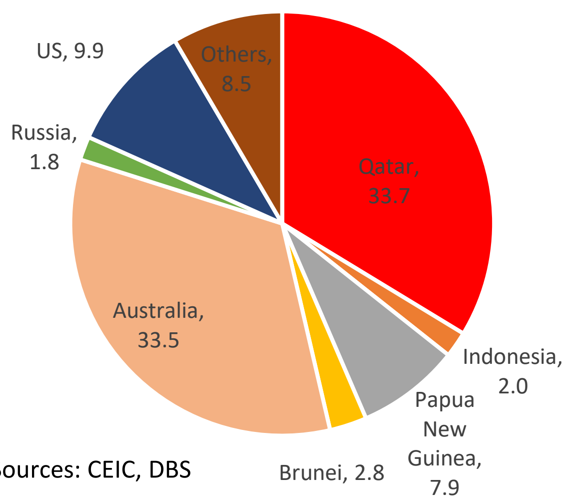
Higher input costs would raise electricity tariffs and production costs, particularly for energy-intensive sectors such as petrochemicals, steel, and semiconductor fabrication. Households would face higher energy bills, although government subsidies and ongoing wage growth should help cushion the impact.

**Taiwan: Crude oil imports by source (2025)**




Sources: CEIC, DBS

**Taiwan: LNG imports by source (2025)**



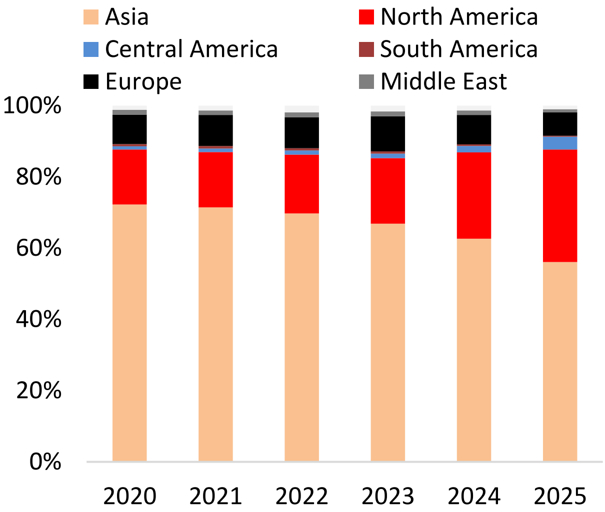

Sources: CEIC, DBS

## Trade exposure

**Taiwan's direct export exposure to the Middle East is minimal**, accounting for less than 1% of total exports in 2025. Europe accounts for around 6%, suggesting that shipping disruptions in the Red Sea or Suez Canal would have only a limited first-round impact on trade volumes.

**The larger risk comes from second-order effects of higher global energy costs**. Elevated oil prices act as a tax on consumption, reducing household purchasing power in key markets such as the US and Europe. This could dampen demand for consumer electronics, PCs, and smartphones. **However, structural technology trends continue to support Taiwan's exports**. AI-related investment, data centers, and industrial policy-driven growth provide a cushion, helping offset a slowdown in traditional electronics exports.

**Taiwan: Exports by market**




Sources: CEIC, DBS

## Macro implications

**An oil price shock would weigh on Taiwan's "Goldilocks" mix of strong growth and contained inflation, but it is far from triggering stagflation.** If oil stabilizes around US$80/bbl, GDP growth could slow by roughly 0.3ppt, with CPI rising about 0.4ppt. If oil reaches US$100/bbl and remains at that level for the rest of the year, GDP growth could decline by about 0.9ppt, and inflation could rise around 1.3ppt. These estimates exclude additional drag from weaker global demand, which could further affect exports and GDP.

**The central bank retains flexibility**. With a base-case GDP growth forecast of 7% and CPI at 1.5%, the risk of inflation exceeding 2% may initially outweigh the risk of growth falling below potential (~3%), supporting a bias toward tightening. If external demand weakens and export momentum slows, policymakers can pivot toward easing to stabilize growth.

## Market implications

**Financial markets remain another channel of adjustment**. Taiwan's equity valuations are high, with total market capitalization of the TWSE exceeding 300% of nominal GDP. Heightened geopolitical risks may prompt global investors to reduce exposure to high-beta markets. Still, strong corporate earnings and technology sector growth provide resilience, helping the market absorb shocks without destabilizing the broader economy.

## Related reports:

*Taiwan: Asia's growth champion*

*Taiwan: A historic trade deal*

*Taiwan: Semiconductor tariffs come into effect*

*Taiwan 2026 outlook: Betting on AI*

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**Sources**: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

## GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates)

Economics

# Thailand chartbook: Firmer 4Q25 growth, Cautious outlook

Economics/Growth/Inflation/Monetary

Group Research

February 19, 2026


**Chua Han Teng, CFA**
Senior Economist

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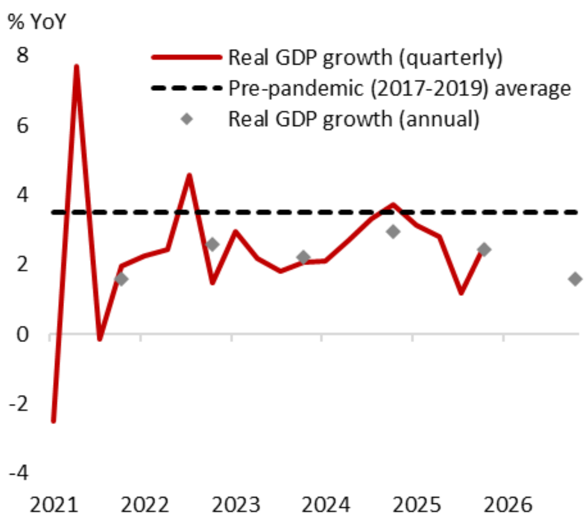
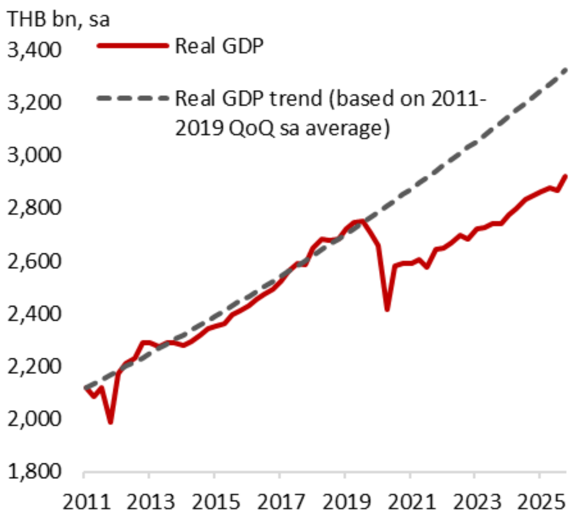
- *Thai real GDP growth rose to 2.5% yoy in 4Q25 due to improved domestic demand. Nonetheless, full-year growth eased to 2.4% in 2025.*
- *Private and government consumption were boosted by stimulus in 4Q25, but household spending will likely be constrained by income challenges and high debt in 2026.*
- *Good exports, while strong, eased in 4Q25, and will face headwinds from the lagged impact of US tariffs in 2026. The recovery in foreign tourism will likely be gradual.*
- *High likelihood of policy continuity after the Bhumjaithai Party's decisive electoral victory.*
- *We expect the dovish BOT to cut its policy rate by 25bps to 1.00% in 2026, but will likely hold in February to preserve policy space after the better-than-expected 4Q25 growth.*
- ***Forecast implications:** We maintain our 2026 forecasts for real GDP growth and headline inflation at 1.6% and 0.5%, respectively.*

**Thailand real GDP growth**




Source: CEIC, DBS. 2026 = DBS forecast

**Thailand real GDP level**



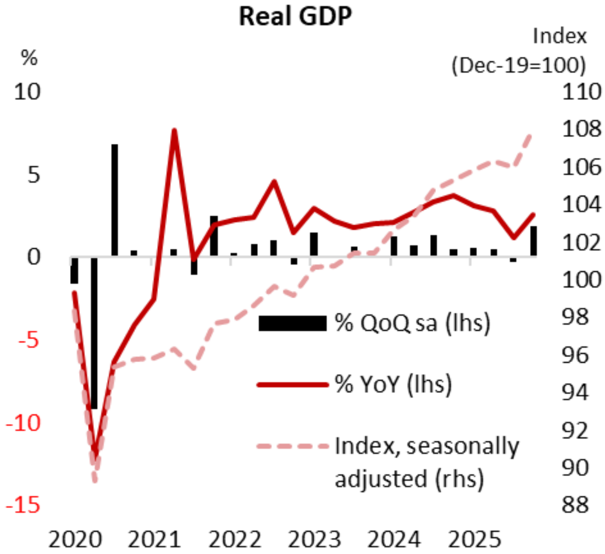

Source: CEIC, DBS

## Real GDP growth

*Real GDP growth rose to 2.5% yoy in 4Q25, up from 1.2% yoy in 3Q. However, growth for full-year 2025 eased to 2.4%. We maintain our forecast for slower growth of 1.6% in 2026, given various challenges.*

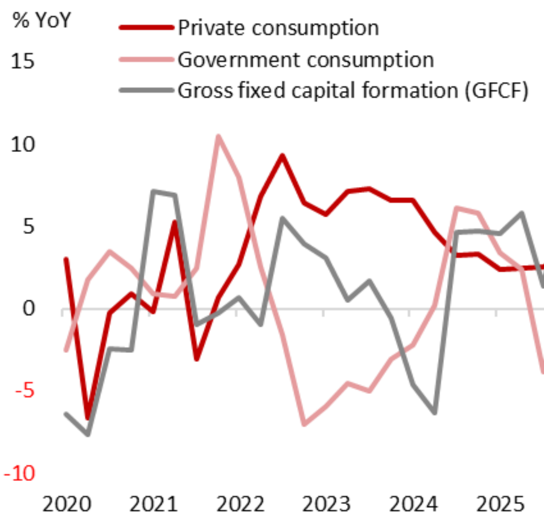
*Overall growth was boosted by improved domestic demand in 4Q25. Private consumption and government consumption were lifted by temporary stimulus support. Investment growth surged to the highest in 10 years.*

**Real GDP**




Source: CEIC, DBS

**Domestic demand growth**

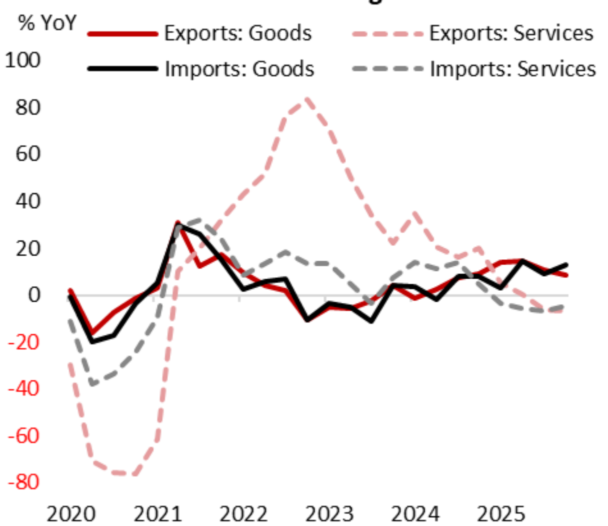



Source: CEIC, DBS

*External demand growth in 4Q25 eased further for the third consecutive quarter. Goods exports, while strong, decelerated, and services exports remained in contraction.*

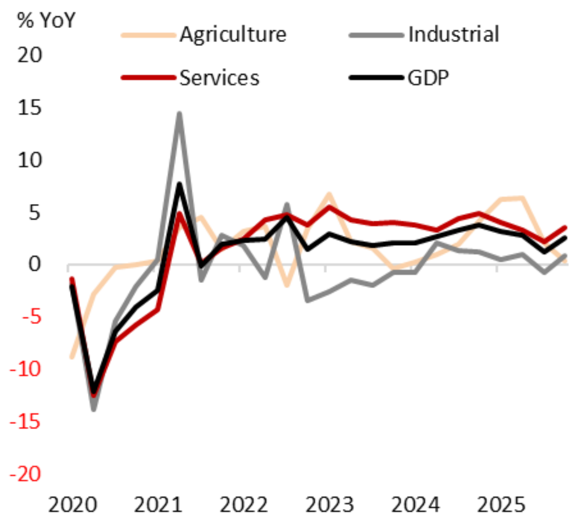
*The pick-up in economic expansion was driven by a rebound in the industrial and services sectors in 4Q25. The agriculture sector was negatively impacted by weather disruptions.*

**External demand growth**




Source: CEIC, DBS

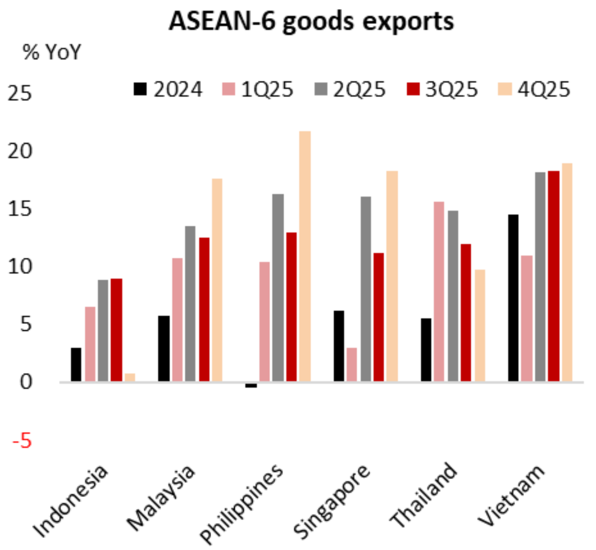
**Real GDP growth by sector**




Source: CEIC, DBS

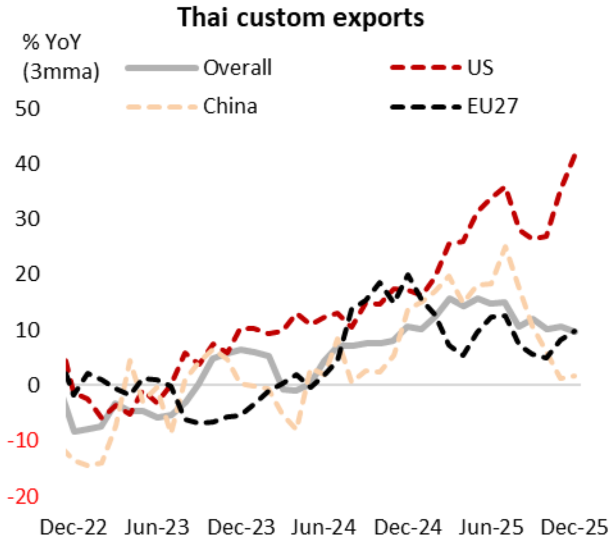
## Goods exports

*Regional goods exports performed well in 2025 despite the US tariff roller coaster. However, strong Thai export growth eased over the course of 2025. Thai shipments will face headwinds from the lagged impact of US tariffs in 2026.*



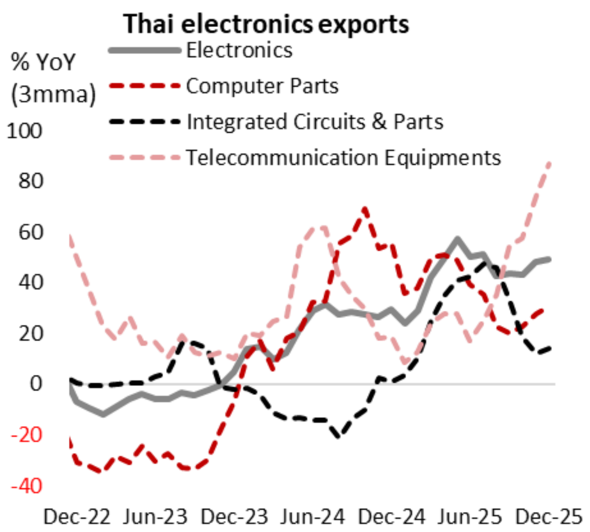

Source: CEIC, DBS. Note: % YoY in USD terms.

*Thai goods exports benefitted from accelerating momentum to the US in 2025, but this trend looks unsustainable in 2026.*



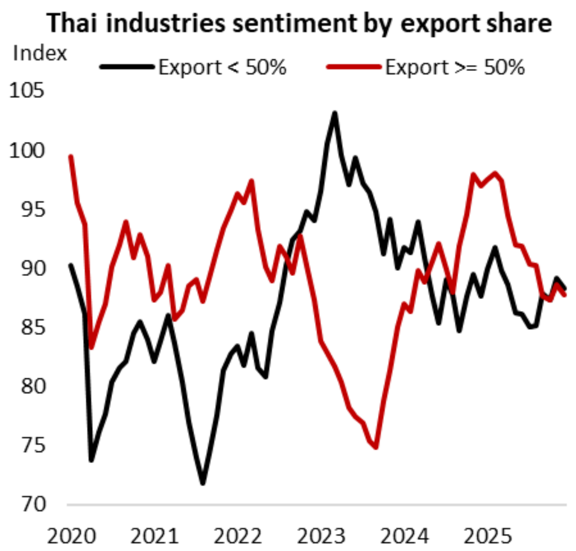

Source: CEIC, DBS

*Thai electronics exports have been supported by global artificial intelligence (AI)-related external tailwinds. While these tailwinds remain supportive, there are risks of excessive exuberance.*




Source: CEIC, DBS
Note: dotted lines are selected sub-components

*Sentiment among Thai industries more exposed to exports remains cautious despite strong export growth, likely due to the still-uncertain global trade policy landscape.*

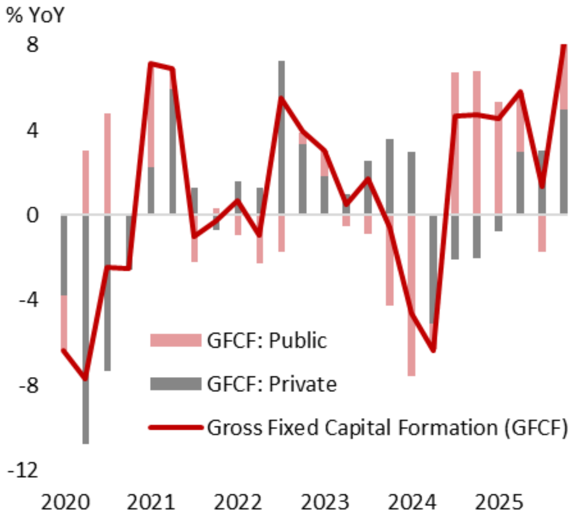



Source: CEIC, DBS

## Investment

*Quarterly investment growth in 4Q25 accelerated to a 10-year high, driven by both public and private sectors. We will have to watch if the strong momentum can be sustained in 2026.*

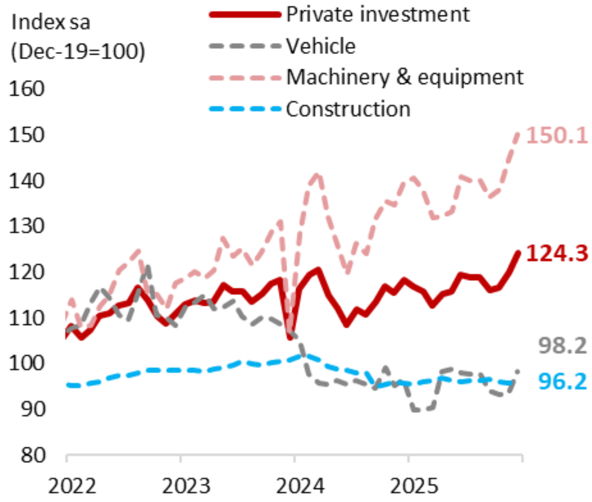
**Investment - gross fixed capital formation**




Source: CEIC, DBS

*Private investment was mainly supported by an increase in machinery and equipment at the end of 2025. However, an uncertain domestic and external landscape could dampen investor sentiment.*

**Private investment**




Source: CEIC, DBS
Note: dotted lines refer to sub-indices.

*The Bhumjaithai Party looks likely to lead the new coalition government after its decisive victory during the elections on 8 February. We see increased likelihood of political stability with a technocratic government to implement its proposed economic policies, but execution remains key.*

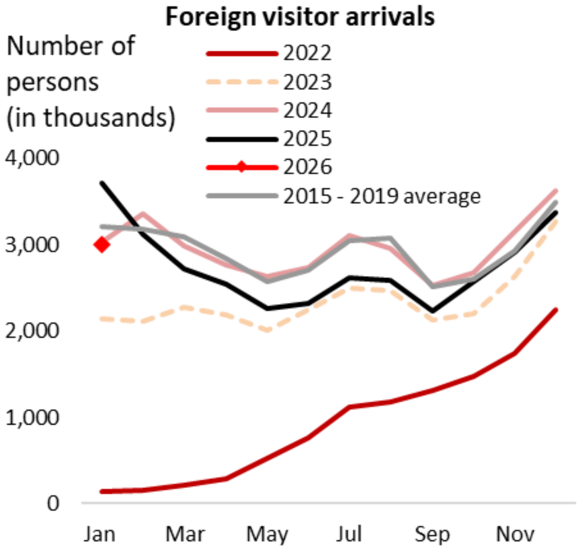
**The Bhumjaithai Party's Economy 10 Plus Policies**

| # | Policies | Description | # | Policies | Description |
|---|---|---|---|---|---|
| 1 | Small & Low-Income Support (Small Business & Welfare Plus) | Support for small businesses and low-income households through reforms to the state welfare card, continued co-payment (Half-Price Plus) scheme, electricity subsidies (capped at 3 THB per unit for the first 200 units), government savings bonds and savings incentives, and fast debt consolidation to reduce financial burdens. | 6 | Green Economy Plus | Supporting environmentally friendly economic activity, clean energy (e.g., solar and EV sectors), a carbon market, and incentives for green businesses to promote sustainable growth. |
| 2 | Made in Thailand SMEs Plus | Strengthening Thai SMEs with capital injections, easier loan guarantees, improved market access, and support to help locally-made goods succeed domestically and abroad. | 7 | Digital & AI Plus | Expanding access to AI and digital tools to improve productivity, income opportunities, and new job creation. |
| 3 | Investment Plus | Boosting investment (targeting around 30 % of GDP within four years), including public-private co-investment and incentives to attract both domestic and foreign investment, especially in future industries. | 8 | Equal Education Plus | Genuine free education with built-in pathways to employment — including online platforms, skills training, and job linkage programs. |
| 4 | Produce & Sell Plus | Enhancing production of the right goods and ensuring they meet consumer demand, along with support for local production tailored to market needs. | 9 | Senior Citizens Plus | Policies to enhance employment, income, care, and tax benefits for senior citizens (e.g., tax deductions for hiring seniors, incentives for elderly employment, community caregiver programs, and development of senior care centers). |
| 5 | Trade Plus | Promoting smart, high-value trade, upgrading the production base, and expanding Thai exports via mutually beneficial international partnerships. | 10 | Thailand Plus (Regulatory & Governance Reform) | Streamlining regulations, accelerating approvals, and creating a more investment-friendly environment to support a "new economy" and increase Thailand's competitiveness. |

Source: News, DBS compilation

## Tourism and Private consumption

*Thailand's foreign tourism is starting 2026 on a soft note, following the gradual increase in 4Q25. The outlook is for a modest improvement in 2026, but a strong baht could pose competitiveness challenges.*

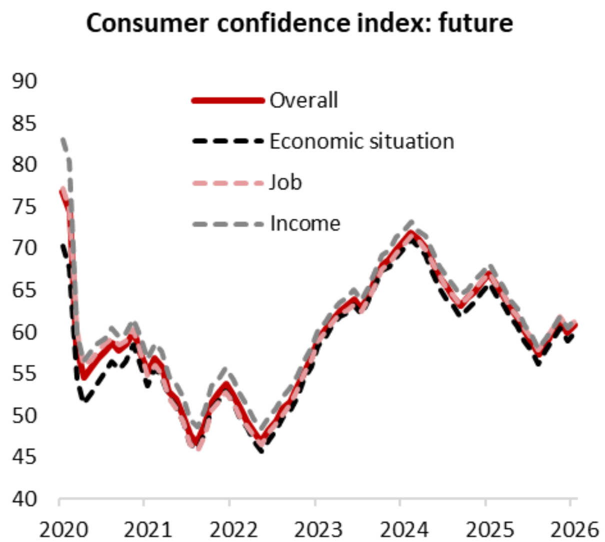



Source: CEIC, DBS

*The kingdom faces challenges in attracting Chinese tourists, having been impacted by safety concerns, and is also losing them to regional destinations. The recovery in Chinese tourists will likely be gradual.*

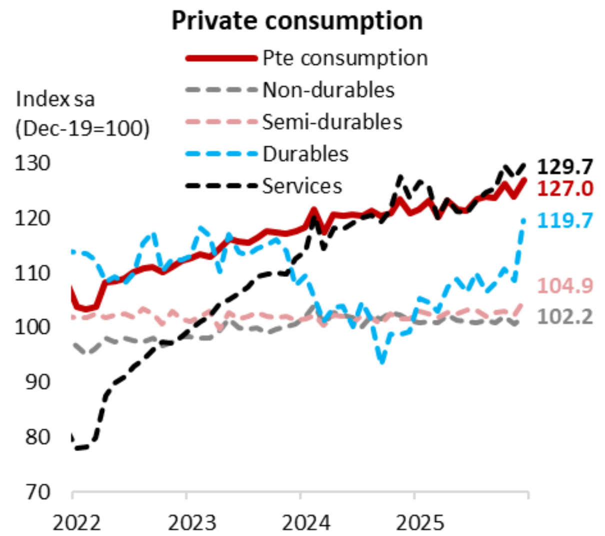

Source: CEIC, DBS
Note: Comparison vs same month in 2019.

*Consumer confidence recovered slightly in 4Q25 due to government stimulus, but will likely be cautious in early 2026 amid income challenges due to economic uncertainty.*




Source: CEIC, DBS. Note: dotted lines refer to sub-indices

*Private consumption was temporarily boosted by durable goods, notably vehicle sales. However, purchasing power remains fragile amid cautious consumer sentiment, and high household debt.*

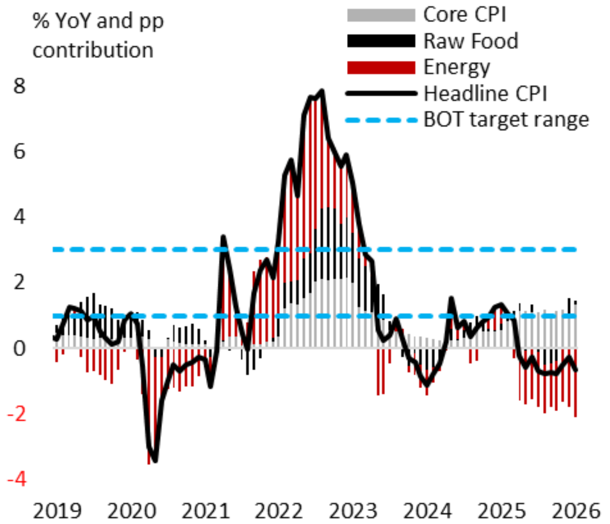



Source: CEIC, DBS
Note: dotted lines refer to sub-indices.

## Inflation and Monetary policy

*Headline inflation remains negative for the 10th consecutive month as of January 2026. This was due to supply-side factors, although demand-pull pressures were also weak. We maintain our forecast of 0.5% for 2026.*

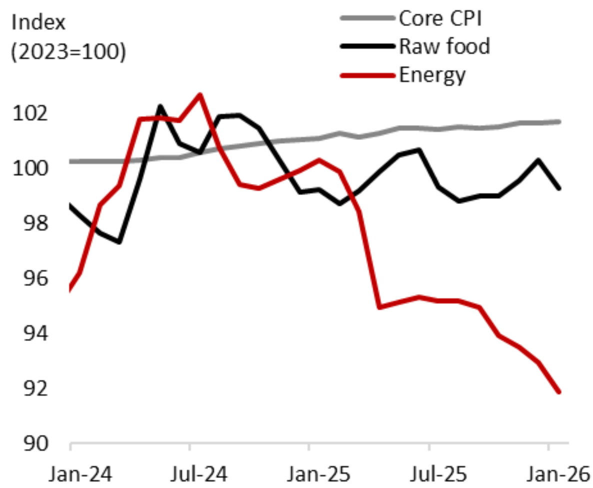
**Headline inflation breakdown**




Source: CEIC, DBS

*Lower energy prices, including fuel and electric tariffs, are the key supply-side factor dampening headline inflation. Food prices face some upside pressure from weather disruptions. Core CPI is only edging up gradually.*

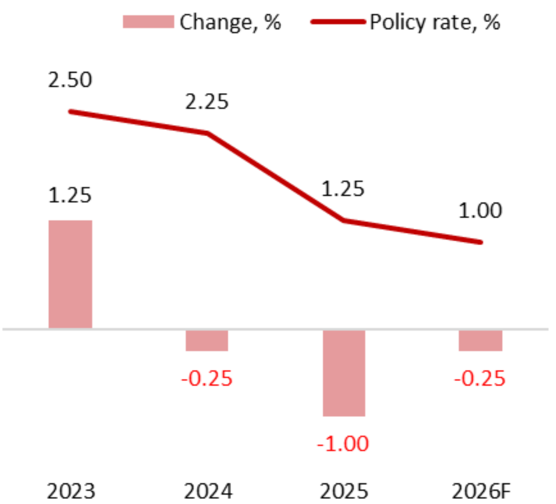
**CPI breakdown**




Source: CEIC, DBS

*While we think the Bank of Thailand (BOT) will cut its policy interest rate again in 2026 to support growth, we see little urgency to ease monetary policy in February after the stronger-than-expected growth rebound in 4Q25.*

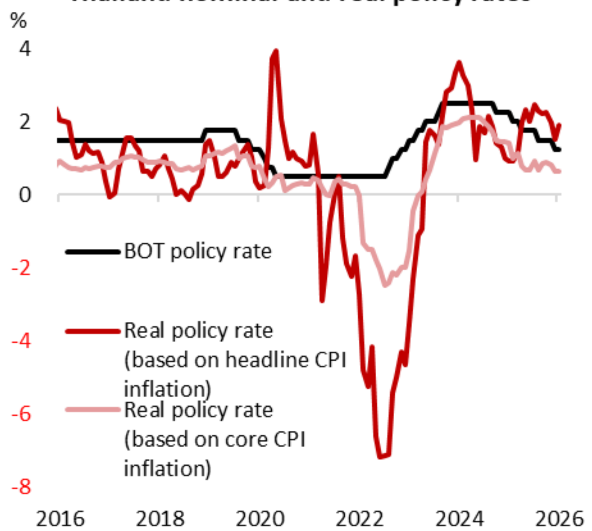
**Thai policy rate**




Source: CEIC, DBS. F=DBS forecast.

*Real policy interest rates in Thailand are not low, even as the BOT has eased monetary policy by 125bps since October 2024. There is still room for rate cuts, although policy space is diminishing.*

**Thailand nominal and real policy rates**




Source: CEIC, DBS

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**Sources**: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

Economics

# DBS Focus

## Singapore Budget 2026: Future-focused strategies

**Economics/GDP/Fiscal**

DBS Group Research February 13, 2026

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- *Budget 2026 is pragmatic and forward-looking, sharpening economic competitiveness and strengthening the social compact.*
- *Strategic plans to harness AI, spur internationalisation, and boost enterprise funding aligned with the Economic Strategy Review are encouraging.*
- *Social support is reinforced with continued assurances and targeted aid.*
- *Fiscal discipline is reaffirmed with an overall surplus for the third consecutive year in FY2026.*
- *The government projects an overall fiscal surplus of SGD8.5bn (1.0% of GDP) in FY2026, compared to SGD15.1bn (1.9% of GDP) in FY2025.*

**We view Budget 2026 as a strategic, forward-looking plan that sharpens Singapore's economic competitiveness and strengthens the social compact under the Forward Singapore agenda, underpinned by fiscal discipline.** By laying out the policy toolkit to advance the long-term direction and recommendations in the Economic Strategy Review (ESR) Mid-term Update, it positions Singapore to better navigate an increasingly complex and fractured global landscape amid domestic constraints. At the same time, continued social support aims to strengthen inclusion. We highlight six key takeaways.

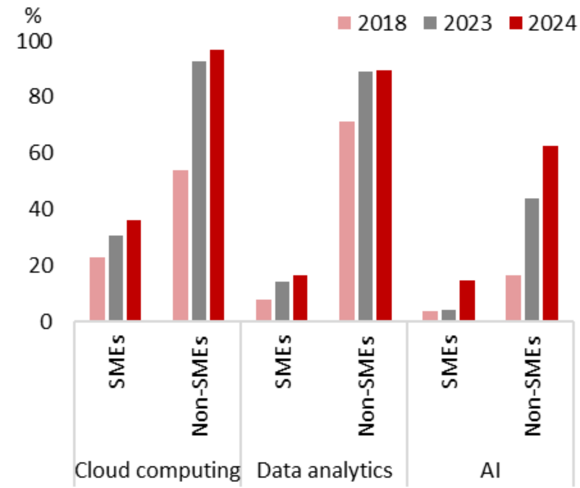
### 1) Leveraging artificial intelligence (AI)

AI, featured prominently within the seven recommendations of the ESR Mid-term Update, is a major focus in Budget 2026. Key policies in the budget aim to leverage technology to power Singapore's next phase of economic growth. **We believe harnessing AI effectively across the economy will boost productivity – a crucial driver of competitiveness and growth over the next decade – as Singapore's mature economy faces increasingly binding land and labour constraints.**

Co-ordinated efforts, including the formation of a National AI Council chaired by the Prime Minister, new national AI Missions across four strategic sectors, and the establishment of an AI park, aim to position Singapore strategically as a global AI leader, driving innovation while enabling effective and targeted deployment of AI at greater scale and speed. A notable enhancement is expanding the Productivity

Solutions Grant (PSG), which has been key in helping small and medium-sized enterprises (SMEs) implement digital and automation solutions to raise productivity over the years. Expanding the PSG to allow firms of any size to access AI-enabled tools will help to defray AI adoption costs and therefore incentivise enterprise-wide adoption, particularly among SMEs, which have lagged large corporates.

**Room for AI adoption to grow;**
**Gaps between SMEs and Non-SMEs persist**




Source: Singapore Digital Economy Reports, DBS

Building an AI-ready workforce will also be a key ingredient for broad-based AI utilisation across the economy. To encourage wide-spread learning, familiarity, and usage of AI, Singaporeans who undergo selected training courses will receive six months of free access to premium AI tools, supported by a redesigned SkillsFuture website to help learners better identify suitable AI courses. The expansion of TechSkills Accelerator for mid-career workers will gradually diffuse AI capabilities into non-tech sectors, starting with accountancy and legal professions before extending to other fields.

## 2) Spurring internationalisation and increasing capital availability

Strengthening connectivity and aggressively supporting internationalisation is another key recommendation in the ESR Mid-term Update. Enhanced internationalisation schemes, such as the Market Readiness Assistance Grant and the Double Tax Deduction for Internationalisation scheme, will support the ambitions of Singapore enterprises, as they aim to expand into new overseas markets and diversify revenue streams for greater growth, as well as build resilience amid global uncertainty and a limited domestic market. **This internationalisation momentum is evident, with around eight in 10 SMEs planning overseas expansion in 2026, according to a recent DBS Business Pulse Check survey.**

The ESR Mid-term Update also recommends sustaining a vibrant startup ecosystem through increased enterprise capital availability. Various enhancements and top-ups to the Startup SG Equity Scheme (SGD1.0bn), the Anchor Fund (SGD1.5bn), and the Financial Sector Development Fund (FSDF) (SGD1.5bn) broaden access to funding from private to public markets, supporting companies' growth ambitions. **Boosting the Equity Market Development Programme (EQDP) via the FSDF will add impetus to the ongoing revival of the public equities market.**

## 3) Committed to green transition

Budget 2026 reaffirms Singapore's steadfast commitment to the green transition and sustainability. The city continues to make progress towards its long-term target for net zero emissions by 2050. The government is therefore raising the 2030 solar deployment target to 3 gigawatt-peak, after reaching the target of 2 gigawatt-peak well ahead of schedule. It also reiterated its goal of achieving 100% cleaner energy vehicles by 2040. The extension of the Energy Efficiency Grant and green loans support under the Enterprise Financing Scheme will provide businesses with key financial support to adopt green solutions.

Singapore will press on with increasing the carbon tax to spur decarbonisation from the current SGD45/tonne. Yet, Budget 2026 signals that the carbon tax may be positioned at the lower end of its projected SGD50-80/tonne range by 2030, giving businesses greater clarity for planning future carbon costs.

## 4) Alleviating business cashflows and costs

With economic resilience still possibly likely to be tested this year amid external uncertainty, the government will provide a slightly reduced corporate income tax rebate, which we expect to continue supporting firms' cashflow needs. Companies are also likely to be prudent on cost management, particularly manpower-related expenses. In this regard, enhancements/extensions to various schemes, such as the Progressive Wage Credit Scheme, the Senior Employment Credit, and the CPF Transition Offset, will help shoulder wage costs, amid efforts to uplift lower-wage workers and encourage the continued employment of senior workers.

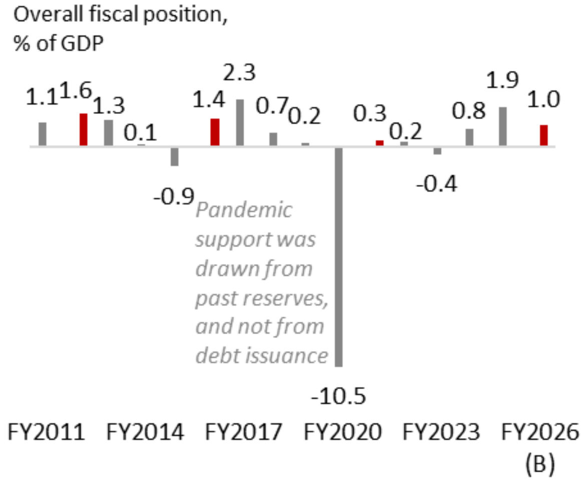
## 5) Strengthen social compact

Government efforts to strengthen the social compact by mitigating inequality and strengthening inclusion are evident in the budget policies. Key initiatives include raising the Local Qualifying Salary to uplift the incomes of lower-wage workers, increasing the monthly household income threshold for pre-school education subsidies, and enhancing the ComLink+ Progress Packages for families. The latest round of targeted assistance, including cash payments, U-Save rebates, and CDC vouchers, builds on earlier support frameworks and provides timely cushion and relief to households facing ongoing cost pressures.

## 6) Strong fiscal position

**Budget 2026, the first fiscal plan of the new term of government, strikes a balance between calibrated, targeted policy support and fiscal discipline.** The government's budgeted overall fiscal surplus of SGD8.5bn (1.0% of GDP) for FY2026 marks the third consecutive year of surplus, extending the positive public financial performance of recent years, even amid increased focus on various spending priorities. The fiscal impulse is assessed to be mildly expansionary in FY2026.

**Fiscal prudence was typically observed in the first budget of a new government term**



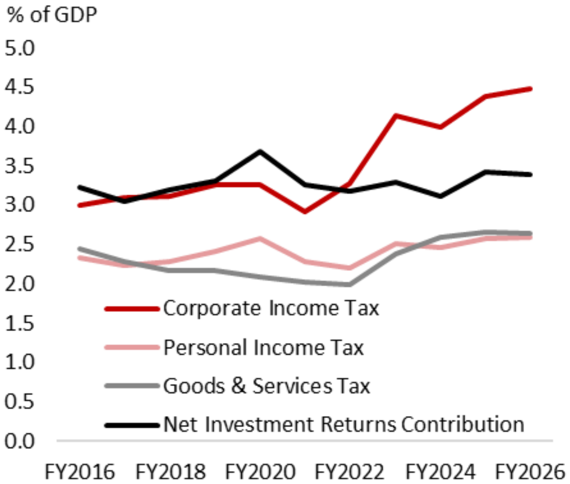

Source: CEIC, MOF, DBS

Based on outcomes from FY2021 to FY2024 and higher revised surplus of SGD15.1bn for FY2025, we estimate that the government is poised to cumulatively accumulate a strong overall positive fiscal position of SGD22.3bn over its previous term. This reflects Singapore's robust and resilient economic performance despite global turbulence.

**Healthy public finances and fiscal strength remain a key competitive advantage, providing the crucial policy space to deliver bold, strategic plans to navigate the significant shifts in an increasingly complex global environment.**

As a share of GDP, total revenues (comprising operating revenue and Net Investment Returns Contribution, NIRC) will remain strong, and continue outstripping total spending (comprising total expenditure and special transfers) of 18.9%, despite falling slightly to 19.4% in FY2026 from 19.7% in FY2025. Corporate income tax revenues will remain the largest revenue contributor, sustaining at above 4% of GDP for the fourth consecutive fiscal year. The government expects higher corporate tax collections in FY2027 with the implementation of the Top-up Tax under Pillar Two of BEPS. Total revenues will also be bolstered by the NIRC at a stable 3.4% of GDP.

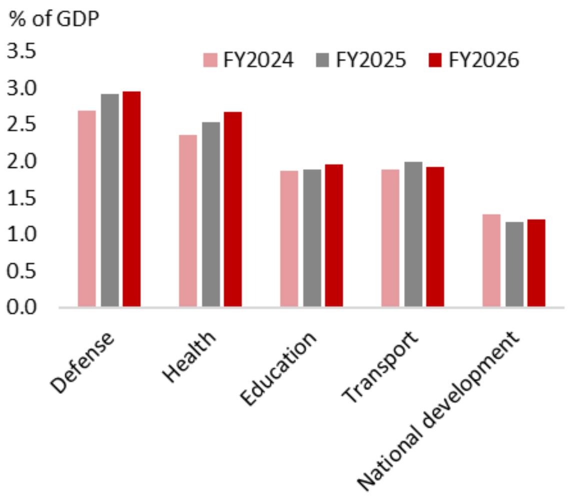
**Strength in key revenue sources in recent years**




Source: CEIC, MOF, DBS

However, the government's spending needs will rise over time to meet top priorities in areas such as defence, healthcare, education, and the economy. Amid an unstable world due to rising geopolitical uncertainty, Singapore will increase its defence spending to 3.0% of GDP in FY2026. It expects security-related expenditures to rise in the coming years to keep Singapore safe and secure, and is prepared to allocate more if needed. Healthcare spending will rise to 2.7% of GDP in FY2026 from around 2.4-2.5% of GDP in the preceding four years, and is also poised to face upward pressures as Singapore tackles demographic challenges from a rapidly aging population.

**Continued spending in key areas**




Source: CEIC, MOF, DBS

Special transfers will decline for the third consecutive year to 2.6% of GDP in FY2026, but the government continues to make strategic top-ups and investments to support long-term economic strategies and priorities. These include additional allocations to the Changi Airport Development Fund (SGD6bn) to boost air connectivity, as well as the National Productivity Fund (SGD6bn) and National Research Fund (SGD5bn) to drive research and development as well as innovation.

**Singapore's overall fiscal position**

| | Actual FY2024 | Revised FY2025 | Budgeted FY2026 | Change over Revised FY2025 | |
|---|---|---|---|---|---|
| | SGD bn | SGD bn | SGD bn | SGD bn | % change |
| **Operating revenue** | **115.5** | **130.9** | **134.8** | **3.9** | **3.0** |
| Less: | | | | | |
| **Total expenditure** | **112.3** | **124.5** | **137.3** | **12.9** | **10.3** |
| Operating expenditure | 88.9 | 97.5 | 103.3 | 5.8 | 6.0 |
| Developmental expenditure | 23.4 | 27.0 | 34.0 | 7.1 | 26.1 |
| **Primary surplus/deficit** | **3.2** | **6.4** | **-2.6** | | |
| Less: | | | | | |
| **Special transfers** | **25.0** | **23.4** | **21.7** | **-1.6** | **-7.0** |
| Special transfers excluding top-ups to endownment and trust funds | 3.0 | 3.8 | 2.8 | | |
| **Basic surplus/deficit** | **0.3** | **2.6** | **-5.4** | | |
| Top-ups to endownment & trust | 22.1 | 19.6 | 18.9 | | |
| Add: | | | | | |
| **Net investment returns contribution** | **24.1** | **27.5** | **28.5** | **0.9** | **3.4** |
| **Overall budget surplus/deficit** | **2.3** | **10.6** | **4.2** | | |
| Add: Capitalisation of nationally significant infrastructure | 4.2 | 5.0 | 5.0 | | |
| Less: SINGA interest costs & loan expenses | 0.4 | 0.5 | 0.7 | | |
| **Overall fiscal position** | **6.1** | **15.1** | **8.5** | | |
| **Overall balance as % of GDP** | **0.8** | **1.9** | **1.0** | | |

Source: MOF

**Economic Strategy Review (ESR) Mid-term Update**

| # | Recommendations | Details |
|---|---|---|
| 1 | Extend our lead and establish global leadership in key growth sectors | • Harness AI, automation and sustainable technologies to transform advanced manufacturing<br>• Tap on our reputation to grow a trust industry<br>• Capture higher-value jobs and new opportunities for Singaporeans |
| 2 | Boldly pursue emerging opportunities to create new engines that can push the growth frontier of our economy | • Invest in areas such as quantum and space tech<br>• Attract and nurture globally-leading enterprises<br>• Sustain a vibrant start-up ecosystem and entrepreneurial culture, with more support for high-potential start-ups |
| 3 | Establish Singapore as an AI leader with an AI-empowered economy | • Position Singapore as a place to develop, test, deploy and scale impactful AI solutions<br>• Drive AI adoption across the economy to lift productivity<br>• Support firms and SMEs to transform and benefit from AI |
| 4 | Strengthen connectivity and linkages to global markets, and more aggressively support firms to internationalise | • Invest in transport hubs and networks for new supply chain opportunities<br>• Strengthen trade cooperation<br>• Help firms venture overseas and bring value back to Singapore through higher-value jobs and additional revenue |
| 5 | Broaden the range of good jobs in our economy | • Uplift and transform jobs in sectors that can better withstand global shifts<br>• Including jobs in skilled trades and care and social services<br>• Nurture a new generation of founders to build the next wave of enterprises and jobs |
| 6 | Make lifelong learning a practical reality and empower every worker to take charge of their career | • Make lifelong learning a practical reality by blending training with work<br>• Build AI literacy across the workforce<br>• Strengthen career transition support via better career guidance, job matching and placement services |
| 7 | Enable our businesses to proactively navigate transitions | • Help firms better understand and shift to more viable opportunities as the economy restructures<br>• Review tools and resources available to business leaders |

Source: Singapore government

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**Sources**: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

# Kopi Time E171: IIF's Tim Adams on the Fed, US fiscal, and financial stability




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Guest Speaker

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- *171th episode of Kopi time, a podcast series on markets and economies from DBS Group Research.*
- *Youtube link is here. Available also on all major podcast platforms, including Apple, Spotify, Amazon, and Google.*

Hello, this is Kopi Time, a podcast series on markets and economies from DBS Group Research. I'm Taimur Baig, Chief economist, welcoming you to our 171st episode.

Today, we will head to Washington, D.C. to get an insider's view of what's taking place there in banking and finance and then widen the lens to some global trends. Timothy Adams is currently President and CEO of the Institute of International Finance.

Prior to joining the IIF, Tim served as Managing director of the Lindsey Group, an economic advisory firm. Previously he served as Undersecretary of US Treasury for International Affairs. He also served as Chief of Staff to both Treasury Secretaries, Paul O'Neill and John Snow.
Tim Adams, a warm welcome to Kopi Time podcast.

**Timothy Adams**

Yeah, it's so great to be with you. I know it's warmer there than it is here. It's a chilly, snowy day here in the nation's capital.

**Taimur Baig**

I gathered that. I'm actually heading to London in a few hours' time. I think the chill from the US, literal and metaphorical, has sort of spilled over into UK and Europe as well.

**Timothy Adams**

Yeah, I'm in Europe next week. Yes, bring a coat and a hat. It's winter here and there as well.

**Taimur Baig**

Yeah, absolutely. Tim, I was kind of joking with you before we started the podcast as there are so many things to talk about that we could spend many, many hours. So, my key struggle in this conversation would be to keep things narrow and not ramble on and drag you into all sorts of tangents. I'll try to discipline myself as much as I can, and I'd like to start our conversation by talking about the latest development in the world of central banking, the nomination of Kevin Warsh as the next Fed chair. Some thoughts?

**Timothy Adams**

Kevin's a dear friend of mine. I was just communicating with him yesterday. I've known him for 25 years. We were colleagues when I was at Treasury and he was at the Fed, and when we served in Bush 43 together. He was at the White House, and I was at Treasury. I'm a huge fan. I think it was a great choice. I thought that's where the President would go. Kevin is very politically savvy guy. He's a good communicator. He served on the Fed Board as a governor during a crisis time under Ben Bernanke. He understands the institution and the issues. He spent the last 15 years with Stanley Druckenmiller, gaining a full understanding of how markets function globally, and I can't think of anyone better to study under than Stan. He's one of the world's best hedge fund managers with one of the best records, and ironically, Scott Bessent, who also worked for the Secretary of the Treasury—also worked for Stan. So, you see Stan's world shaping US policy. I think Kevin will get confirmed. We just have to get through this really ridiculous issue with J Powell and the Department of Justice investigation, which I think is a waste of time. We'll get through it. I think the White House will find a way to walk away from it. Kevin will get confirmed and be in the job by mid-year.

He has a huge job ahead. He's never been a CEO; he's never been in the chair seat before, so first he has to build consensus around his immediate table, the Board. There are three individuals, Barr, Jefferson, and Cook, who will be skeptical. He has to bring them along. He also has to build good ties with Chris Waller and Michelle Bowman, who are dear friends of mine as well, and Stephen Miran, who is going to stay on. So, he has to build consensus around the board, convincing possible detractors that he has a vision and a way forward. Then there's the broader FOMC, with a tremendous number of very smart people sitting around the table, many of whom you and I know. He has to build consensus there too.

Then he has to decide what to do about the organization. Kevin has made a number of pronouncements about re-engineering models, bringing in different economists, and rethinking approaches. I think it's a good idea to kick the tires a bit, bring in different perspectives, and ask whether there is too much groupthink. Stress testing the organization is fair; every new Fed chair does that. That will take time, it's a two-year process, not a two-month process.

His biggest short-term challenge is keeping the President of the United States off his back. You heard the President yesterday at the Alfalfa Club, a white tie, elite dinner here in Washington, joke that he would sue Kevin if he didn't cut rates. He has to keep the President happy while defending the institution and its independence. It's going to be tough. Rates are going to come down. I think he'll find a way forward and build a consensus, but he has to navigate between market expectations, the integrity and independence of the institution, and a President who has three more years left and is not shy about expressing his opinion.

## Taimur Baig

I want to talk about the vision aspect you mentioned. It's not entirely clear to me, and the market also seems to be struggling to understand the vision that Warsh would bring. We've seen him speak very hawkishly during the Obama years and subsequently, and then we've seen him talk very dovishly in recent years. How do you reconcile politicized rhetoric versus independent thinking from Warsh as a neutral Fed chair? Where do you think this stands up?

## Timothy Adams

He's going to be a pragmatist. Whatever philosophical tendencies he has will be checked at the door when he walks in. The institution itself influences you. I've seen many people go in as Fed governors with strong convictions, planning to do A, B, and C, and once the doors close and you're with colleagues and staff, you become more institutional. Kevin at heart is an establishment figure, not a bomb thrower, although he gave some aggressive speeches. That was more performative; to show he's an independent thinker with the intellectual chops to run the place. He'll be pragmatic and look at the facts in front of him. He also has to build consensus to get votes around the table. He has to be a listener. You're a chair, but more like a Prime minister than a President, surrounded by many very smart people who have already been at this. Kevin has done it, but it has been 15 years, so there's a learning curve. He'll figure out how to get rates where they need to be in the short term, put institutional reforms aside, keep the President off his back, and let philosophy evolve over time. In the near term, it's pragmatism.

## Taimur Baig

You are predicting that under Warsh, rates would come down further and he would persuade the governors with intellectual arguments. But moving away from parsing what Mr. Warsh thinks, do you think the US economy is in dire need of lower interest rates?

## Timothy Adams

No, I don't. The President certainly wants lower rates, but I'm not sure he fully appreciates the yield curve. You might lower rates at the short end, but you pay for it at the long end, and the long end matters most. Think about housing, we need more housing and a more vibrant housing market. In terms of long-term funding, it matters as well. Although US government funding is pretty short term these days, we can set the deficit aside for a moment. I don't think lower rates are needed. Kevin will likely make the case that we have an AI revolution, he already has, and that on the supply side, with investment led growth, you can lower rates without creating inflationary pressures. There is a worry that labor markets could deteriorate a bit, and whether you should get ahead of that. Last year, 2025, was the worst year for labor markets in a non-recessionary period since 2003, and we lost 75,000 manufacturing jobs. I think that's more about structural policy than monetary policy, but we always look to the Fed to solve many problems. Kevin has complained about the Fed's remit expanding over the years, along with mandates for institutions like the IMF, Central bankers get involved in lots of issues. He'll try to narrow the focus to strict central banking, while also acknowledging the economy's transformation, very much like Alan Greenspan in the 1990s.

## Taimur Baig

That's where my biggest uncertainty lies. Warsh has said lower rates are warranted, pointing to a productivity-led revolution and disinflationary impulses just around the corner. At the same time, he has accused the Fed of mission creep and relying on balance sheet operations like QE to accomplish things it shouldn't. How does one cut rates and do QT at the same time?

### Timothy Adams

You can't, and that's the problem. He's out over his skis on the balance sheet. Again, it's about pragmatism. Walk in the door, build consensus, show you can lead the organization, and find a way to ease conditions enough so the President gets off your back. The worst outcome for Kevin and the institution is the President spending the next two years publicly attacking both Kevin and the Fed. It doesn't serve anyone's purpose. It's a balancing act. Kevin believes he can get rates down without jeopardizing price stability or the integrity of the Fed. We'll see. He's savvy, smart, and sophisticated. He has messages for the President, for markets, and for colleagues at other central banks, touring and seeing many of them. It's a huge challenge, but he starts with an enormous amount of credibility.

### Taimur Baig

That's good to know. He also has to worry about the bond market. Let's go with the scenario that he cuts rates credibly, and that he and Scott Bassent are on the same wavelength, allowing some monetary fiscal coordination to deal with the enormous debt. Fast forward nine months: the Fed has cut two or three more times; markets don't like it; the AI led disinflationary impulse is more 2028–2029 phenomenon, not 2026–2027; and the yield curve steepens. What would they do?

### Timothy Adams

That's what would keep me up at night. Once you're in that box, how do you get out? He would need cooperation from the Treasury Secretary to provide political cover. He would have to sound more hawkish. Ultimately, Washington needs to focus on our fiscal trajectory, which is harrowing and unsustainable, and no one seems to care. Maybe a long end backup that pushes up mortgage rates and angers voters would jolt the political class into focusing on deficit reduction. Right now, it doesn't exist; we tinker around the edges. I ran the numbers this morning, we spent USD1.267trn on net interest on public debt over the last year, that's USD3.5bn per day. It's not sustainable. We're at 120% of GDP on a gross basis; 100% if you look at debt held by the public. We're an aging population and spending more on defense. It doesn't work. Maybe a rate backup has a silver lining if it forces attention on deficits.

### Taimur Baig

Assuming no fiscal consolidation and a market revolt, could we head into financial repression, like India in 1970s—forcing banks to hold more bonds, the Fed abandoning QT, resuming QE, or even Japanese style yield curve control? Could the US go down that unorthodox path?

### Timothy Adams

That's a great question. It's possible the President would say all those things are great. He likes price controls, and people around him do too. I'm sure he wouldn't think twice about calling up big bank CEOs and asking them to hold more Treasuries. Could that come out of the White House? Most certainly—anything could. A cap on credit card interest rates popped up out of nowhere. Would Scott Bessent and the more seasoned officials sign on? I doubt it. You could see internal tension. The President may field provocative ideas, and the Secretary will have to walk them back with markets. Ultimately, the Fed might have to reverse course and prove its mettle. If markets lose confidence in the Fed's integrity and commitment to price stability, getting that back will be hard. That's Kevin's challenge—keeping markets confident about price stability while the President breathes down his neck on a daily basis.

### Taimur Baig

And to your point that Scott Bessent, who has dealt with the bond market in his professional career, may not get along with those things. I'm just trying to sort of game out the possible scenarios here. Could we then see the tension between two appointed, top secretaries or one chairman and one secretary and the President, and then could we see things like what we saw in Trump 1.0, resignations or firings and things like that.

### Timothy Adams

This administration is different from 1.0. It's more cohesive and deeply onboard with the President. There isn't much of an internal policy making process, no deputies process. It gets played out on social media more than anything. You might see the President tabling ideas, the Secretary trying to walk them back, and a lot of public discourse, while behind the scenes they try to fix the problem, and

Kevin gets stuck in the middle. I don't think the Secretary is going anywhere. He likes his job and is here for the foreseeable future. Unlike Trump 1.0, where the President doubted officials' loyalty, these people seem loyal. It would take a high bar for him to push people out.

### Taimur Baig

So, nobody resigns. They follow the path we outlined—first cutting rates, and if curves steepen, financial repression. But there's no free lunch. Something has to be given, and I guess that will be the dollar.

### Timothy Adams

There is no free lunch, although this town often operates as if there is. You hear it on tariffs. The Wall Street Journal editorial page today picked apart the President's points on tariffs. We're in a world where facts often seem not to matter, and it's hard to find the truth. The dominant political class here believes in a free lunch until there isn't one. When there isn't, whether on deficit spending or geopolitical saber rattling, something will go wrong, and then we'll see how they react. So far, they've been incredibly lucky. Everything is priced to perfection. Will it stay that way forever? History says it won't.

### Taimur Baig

If the dollar is the pressure valve and has substantial downside, some like Scott Besant and Stephen Maran argue a weak dollar helps address the US's persistent current account deficit and restores manufacturing competitiveness. Will this be the first administration in a very long time to guide the dollar lower?

### Timothy Adams

Great question. If you asked Donald Trump, he'd say he wants a weaker dollar. Some in this administration might agree. Scott Bessent, however, knows that if you try to steer the dollar, you could lose control and credibility. He quickly came out last week to say he has a strong dollar policy. Last year, at our event, he called me and said he wanted to speak at the IIF spring meetings; he emphasized his commitment to the Bretton Woods institutions and reaffirmed a strong dollar. Expect tension between 1500 Pennsylvania Avenue (Treasury) and 1600 Pennsylvania Avenue (the White House). The President may push for a weaker dollar, while the Secretary modulates the message, insisting they are not abandoning a strong dollar, which can mean everything and nothing, depending on the administration. For us, it was always a commitment not to use the currency as a beggar thy neighbor policy lever. We have a flexible exchange rate for a reason: it goes up and down; markets determine it; flows, relative growth, relative inflation, and productivity matter. Bessent will have to say that depreciation, if it happens, is a normal course of business; perhaps the dollar was overvalued. But the goal is not to weaken it as a policy tool. The question is whether markets believe him. We'll see.

### Taimur Baig

I had the pleasure of attending that event; you did a fantastic job interviewing the Secretary. If I recall correctly, when you asked him the question, he said that for him, a strong dollar means the US remains an attractive place for investors from all over the world. Even if the dollar's value moves around a bit, as long as the US stock and bond markets are desirable, that's what a strong dollar policy means. I get the point. But if the dollar falls a lot under financial repression scenarios, it can become disorderly, which would not be good for US asset markets.

### Timothy Adams

That's always the challenge in Treasury's corner office, ensuring stability even if the direction is clear. It's not only about the dollar; the yen and other currencies can also face questions of volatility and disorder. You worry about the need for signaling, either rhetorical or via market intervention, which is always the last course intervention. You don't want to do it unless you have to, because you can't push markets where they don't want to go. This administration believes, consistent with previous ones, that if you do everything right, capital will come. As one Secretary used to say, capital is a coward: it goes where it's treated well and leaves where it's treated badly. Create the right enabling environment and you will attract capital. The President takes a stronger arm approach: do trade deals and compel investment into the United States. Bessent believes that deregulation and lower energy prices can foster a more pro-business environment. Animal spirits are evident in boardrooms. The business environment is positive, which itself attracts capital. On fundamentals, the US story is good, especially if an AI revolution drives more investment led growth. They think they have a very good story to tell.

### Taimur Baig

It is remarkable that in 2025, despite AI excitement and big deals, with firms like OpenAI raising money in the Middle East and Japan and elsewhere, aggregate FDI declined in the US in 2025. There's a lot of paralysis and confusion about policy certainty under tariffs. From Singapore, I can say that a 15% tariff, or 5% or 10% downside, still doesn't make it compelling to move manufacturing from China or Malaysia to the US. 30% is not a wedge. More favorable tax policy and lower energy prices help, but most importantly, certainly currently lacking.

### Timothy Adams

You're absolutely right. I've always been skeptical of the manufacturing renewal narrative. The US is already a manufacturing powerhouse already; a USD2.9trn manufacturing economy. If it were its own economy, it would be the eighth largest in the world, larger than the next five manufacturing sectors combined. Despite rhetoric about hollowing out, it's a powerhouse. But moving production here is expensive. In the auto industry, for instance, there are many costs to consider. It's about policy durability. If you're building a factory with a 40-year productive life, you don't do that based on the next 36 months. I spoke with people in the aluminum smelting business. Aluminum is essentially an electricity play. It takes seven years to build a smelter in the US, with a 40-year useful life. If electricity prices are three times what Canadians can charge with hydro power, you're not competitive, and downstream purchasers aren't competitive either. Outside tech and data centers, there's a lot of caution. Many announcements the President touts aren't real; mostly PR. Manufacturing construction weakened in 2024 and 2025. It's tough to get firms to move with a 40-year horizon without durable, appropriately supportive policy.

### Taimur Baig

Returning to the dollar, in addition to where the dollar goes, there's the issue of weaponization of the dollar, and this is something that regimes in the last 10 years, Biden or Trump, have repeatedly done that, seizing Central bank reserves of Afghanistan or Russia, SWIFT related sanctions on firms dealing with listed entities, and so on. Has this caused serious damage? Will it permanently reduce the desirability of holding dollars?

### Timothy Adams

I hear this everywhere. As we rethink 21st century payment rails—tokenized deposits and assets, distributed ledger technology for Central bank and commercial bank money in cross border payments—the world is changing rapidly. Some jurisdictions are building their own systems, cross border or regional, especially in Asia, to avoid clearing through US institutions and using the dollar. It's really hard, though. About 80% of commodities are still priced in dollars. Roughly 90% of FX transactions involve the dollar. The US remains a quarter of the global economy, with 60% of global reserves in dollars; the euro is next, at about a third of that share. The embedded network effects are hard to dislodge but sentiment but yes, from a sentiment perspective, I hear it everywhere I go. Over time, jurisdictions will find ways to circumnavigate the US. I just don't think it happens in the next three to five years.

### Taimur Baig

Is there a more constructive approach the next administration could take, codifying that the dollar will not be weaponized? Or have we passed that point?

### Timothy Adams

Again, a great question. Sanctions are a very attractive, non-kinetic tool of US power. It's tough to walk away from that. Every administration, Bush, Obama, Biden, Trump has used them. I don't think a future administration will give up that leverage. But you could have a rhetorical approach that is more understanding of global concerns, with a higher threshold for using sanctions. That would help. Right now, there's a sense they're used whenever and however they want, which many jurisdictions see as reckless. You can walk that back somewhat, but I don't think any administration is giving up the tool. Let me just add to that. An interesting episode in the last couple of weeks, Secretary Bessent was out for dinner, and some advocacy group got wind of it and showed up at the restaurant and made a big fuss. It's on YouTube, you can find it. And it was about sanctions and I don't know, I never heard of the group who were shouting at him over his dinner about the use of sanctions and it had killed 600,000 children around the world or something. It's the first time I'd ever heard protesting about US sanctions. There's a lot of things you could protest about in the United States right now, but I thought that was an interesting data point. And so maybe that's to your point as well. There is concern about the aggressive use of weaponizing the dollar, and if enough of this happens, then you may see over time some sensitivity to how it's used and where it's used and under what circumstances.

## Taimur Baig

That's fascinating to hear that. I'm really glad that you added that insight. Thank you for that. About eight months ago, the Genius Act on stablecoins passed. There was breathless commentary that this would quickly become a USD1trn market, disintermediate countries with weak FX policies, and democratize cross border currency movement. It doesn't seem like a game changer yet. Am I speaking too soon?

## Timothy Adams

There are strong ambitions in Washington for stablecoins and their global use. You can't spend time with US officials without hearing about it—members of Congress and the tech sector are enthusiastic. Congress hasn't done much this term, but it passed the Genius Act and is debating the Clarity Act, which would give greater structure and define SEC versus CFTC roles, among other things. The US chairs the G20 this year and the G7 next year and wants to push this on the agenda and export the regulatory regime to other countries. I've talked to many jurisdictions, including Singapore; MAS is incredibly smart and among the best. The response is we'll think about it, but probably not. It's a tough sales job. That doesn't mean some jurisdictions won't adopt the Genius Act model and replicate the stablecoin world. Will it be a USD1-3trn market? I don't know, but it'll be larger than today. We are more focused on tokenizing assets and money (Central bank and commercial bank) within the current system. I think that's limitless and includes Central banks. It's difficult to build a new payment system without Central banks. Remember Meta's Diem, Libra. Without Central banks at the table, you face real constraints. Libertarian tech advocates might say "down with Central banks," but then you run into money laundering problems and other challenges. The Genius Act and stablecoins are huge here and discussed daily. There's upside but also limits. Alternative systems may be more durable and larger.

## Taimur Baig

Augustin Carstens of BIS once told me stablecoins are a 500-year-old idea, the Dutch East India Company had copper backed coins that eventually failed as they started reducing the amount of copper they were backing it with, once the word came out, it collapsed. His point was that without airtight governance, asset-backed currencies don't work well. When the Genius Act passed, it seemed light on regulation, an original sin. People will be wary of loosely regulated private issuance of these. Your thoughts?

## Timothy Adams

Governance is a huge issue unless users want it precisely because governance is light. History is full of debasement examples. A blockchain doesn't repeal economic gravity. There's a market for stable coins, but we need to understand stress environments. Andrew Bailey is the Chair of the FSB, and the Bank of England is looking at this. The BIS, Carstens and team are looking at it. There's an emerging market angle; in semi dollarized economies, you could see deposit flight from banks into stablecoins in stress, possibly within minutes, exacerbating instability. We're spending a lot of time thinking through these scenarios because circulation is growing and many of our firms are interested.

## Taimur Baig

Absolutely, and I have to tip my hat. Both you at the IIF and the BIS are doing really important work. Sometimes leadership at the private sector and multilateral level is essential because governments pursue their own narrow national objectives.

Since you mentioned financial stability several times, let me turn to that. We're speaking at a time when we've seen anomalous developments, gold heading to 5,500 before correcting, still very pricey; silver doing something similar; the massive AI stock rally over the past couple of years; and now some correction going on. Does this give you 2000 or 2008 vibes? Or is this a healthier upcycle?

### Timothy Adams

My job is to worry, and whenever we start talking about the end of the business cycle, it makes me nervous. I still have my Pets.com puppet at home as a reminder, Pets.com dominated Super Bowl advertising in January 2000 with a market cap exceeding major industrial companies. By March, the NASDAQ popped, and by October the company was bankrupt. Things can move very fast.

If you look at metals, for example, I'm on a foundation board, and we met Tuesday night. Six months ago, I suggested selling gold because I thought it was time. Some colleagues chided me this week, saying we should have ridden that horse longer. But I said, "You can't get greedy". I don't understand gold at these levels, historical ratios say we're already stretched. Silver is odd because it's an industrial metal, yet it's behaving erratically. Today it's down 15%. Bitcoin is below 70,000. All of these swings make me nervous.

I've encouraged my children to build portfolios, and they've called me this week. I told them be conservative. Buy value stocks. Look for blue chip, dividend paying companies that can survive cycles. Don't get greedy. Things are priced to perfection.

Maybe it all works out, the AI space is remarkable but there's also tremendous hype. I don't know whether one or two of today's AI leaders end up like the BlackBerry of their era. Maybe a new technology emerges from China or elsewhere that can do 85% of what LLMs do at 5% of the cost. If that happens, business models for companies borrowing and spending hundreds of billions could vanish almost overnight.

The market is very narrowly focused; seven or eight companies dominate. I'd feel better if it were more broad based.

### Taimur Baig

Right. So, you and I should welcome the fact that there's rotation, not just a brutal selloff, people moving into value stocks. So, they're listening to your advice.

### Timothy Adams

I'd like to see the rally broaden and become more durable. There's no doubt we're undergoing a technological revolution. I was watching videos this morning of new humanoid robots; they were everywhere at Davos. I saw one that can wash dishes, do laundry, and walk your dog. Given how cold it is here, I could use something to walk me.

But yes, firms will survive and others won't, just like in the 1990s. Think of all the search engines in 1996 that didn't exist four years later. Some of today's players will become the next Google or Amazon; some won't survive.

### Taimur Baig

I confess I used Lycos and Excite back then. Tim, we've largely focused on the US. You run the Institute of International Finance and produce excellent global capital flow data. I'm an avid consumer of your capital tracker reports. Let's leave the US aside. What's your view on global flows? Have we survived the worst? Are we reasonably well stress tested?

### Timothy Adams

As you know, we're global, with offices around the world, including a wonderful one in downtown Singapore. We just held a major event in Beijing last week, and our team spent a full week across China. Thinking about Europe, you're traveling there soon. Europe is interesting. The German numbers out this morning were better than expected. There's a lot of spending happening, especially on defense. We've launched a working group on defense spending, coordination, implications for financial institutions, risks, and upsides. Everywhere I've been in the last 90 days, from Greenland to Poland, defense and national security dominate conversations.

Europe faces challenges; aging populations, expensive social safety nets, rising defense spending. It needs institutional change and continent-wide capital markets reform to better intermediate capital. They need to move savings out of zero return accounts and build an equity culture. They know what to do. Next week I'll repeat what they already know, and they'll tell me they know what to do. Execution is the problem. Draghi has emphasized that it's all about execution. Some progress may happen over time, but governance reform is needed. So, I'm cautiously optimistic about Europe but only cautiously. Spending will keep things afloat.

Another major theme is the Gulf and Asia. I spent a lot of time in the GCC in December. GCC interest in ASEAN and Asia generally is rising. ASEAN interest in the Gulf and in Africa is rising. The world is rewiring itself. We used to optimize for efficiency; now we optimize for resiliency. Investors aren't leaving the US, but they're looking for alternatives.

GCC firms were in Singapore in September; they're heading to Hong Kong; ASEAN countries are heading to the Gulf. Add India and Africa, plus Europe, and you get this arc from the GCC across India into Asia. Add Australia. I'll be there soon. That arc is the future. Extremely dynamic, with 500mn middle class consumers. Enormous upside and investment potential.

More broadly, emerging markets with good policy regimes attract capital; those without don't. There are good stories on a country-by-country basis. Latin America has many elections. Right of center governments are coming in. We were in Costa Rica last week, and they're moving in that direction. Depending on what happens in Venezuela, you could see a transition from decades of poor policy to something better.

So, I'm optimistic we'll end up with a more balanced, diversified global economy, less dependent on the US consumer, less dependent on China as the supplier of capital and goods. That next stage will take time, but I think it will happen. So, I am optimistic about more balanced, diversified global economy and I am very excited about GCC to ASEAN arc.

### Taimur Baig

We agree. Finally, you were at Davos. Mark Carney gave quite a speech. It really resonated across non-superpower countries of the world. What did you make of it?

### Timothy Adams

Mark is a great friend. I sent him a handwritten note afterwards. I watched his speech live; it was spot on. A wake-up call. Mark played hockey in his youth, he was on Harvard's team, and the old saying is skate to where the puck is going. Mark is always where the puck is going. He described them as middle powers.

He argued that the old order is gone. What comes next is unclear. I've spoken with theorists, political scientists, historians, and authors recently; everyone has a different view. Are we transitioning to a new equilibrium, or wandering for 30–50 years? Hard to say. But I just know that what we had is gone.

Every country now must figure out how to defend itself, optimize national security, develop new alliances, new friends, new supply chains. It's a dog-eat-dog world. Mark's point was we won't be left behind. We have resources, innovation, and ingenuity. We're not the US or China, but we can find new markets, alliances, and business opportunities. This re scrambling is happening and will continue for years, if not decades.

### Taimur Baig

I call it the global anti-bullying campaign.

### Timothy Adams

That's a good description. I hear it everywhere. If your listeners haven't read Mark's speech, they should. It lays out where we are; accept reality, don't be emotional, be pragmatic. Build resiliency in the system, defend your interests, and hopefully a new order emerges that promotes prosperity and peace and we are all better off.

### Taimur Baig

Absolutely. Tim, this was a great conversation. Can't thank you enough for your time.

### Timothy Adams

Thank you very much for having me. I always enjoy your work. I read everything you write. I look forward to coming back.

**Taimur Baig**

Brilliant. Thanks to our listeners as well.

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